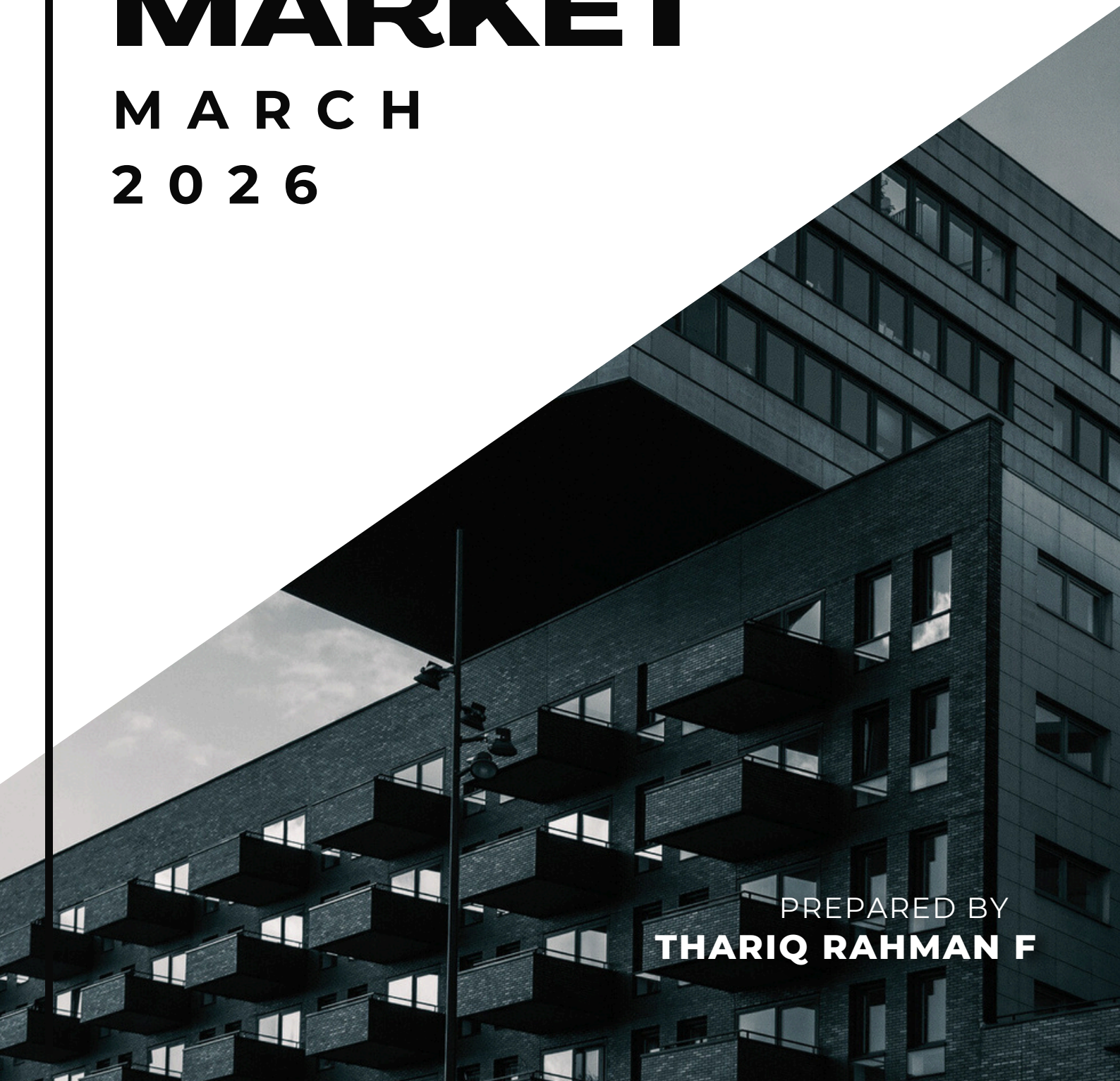
CRYPTO EXCHANGE
OUTLOOK

PREDICTION MARKET

MARCH 2026



PREPARED BY
THARIQ RAHMAN F

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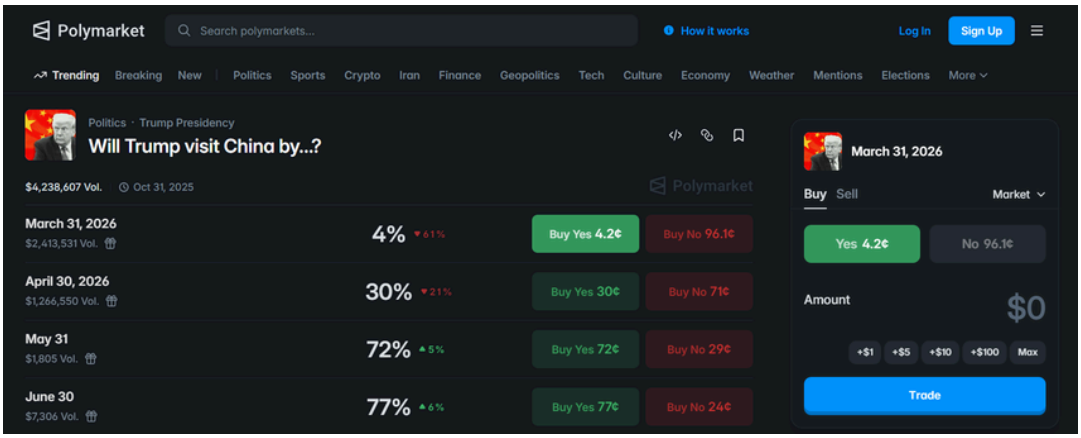
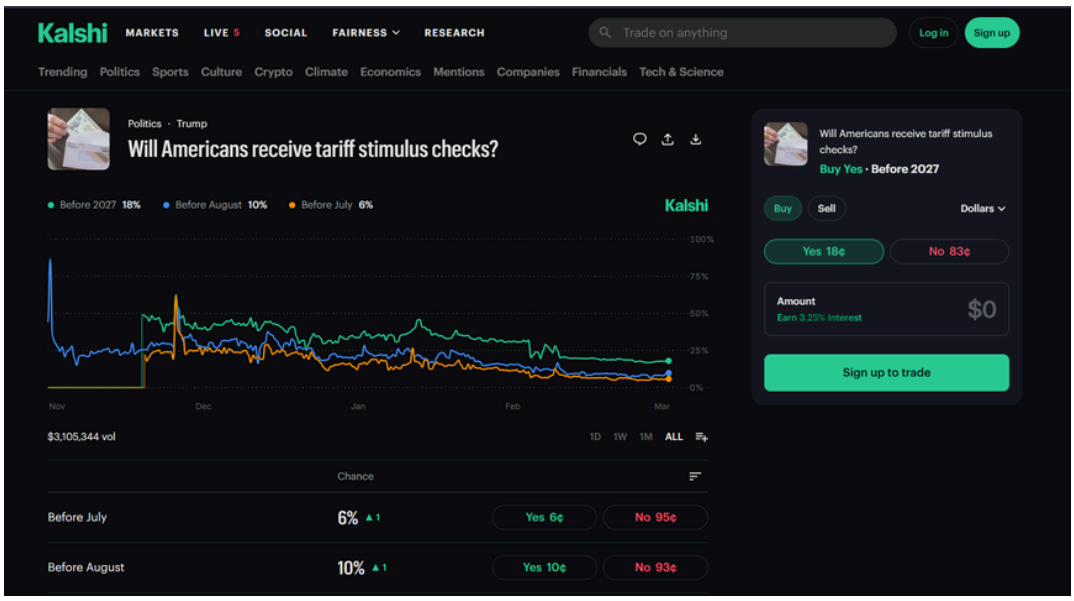
PREDICTION MARKETS

What is Prediction Markets and Why is booming?

Prediction markets are specialized exchange platforms where participants trade contracts based on the outcomes of specific future events—ranging from political elections to macroeconomic shifts—acting as a collective forecasting tool driven by the "wisdom of the crowd." Unlike traditional trading, which focuses on assets with intrinsic value or projected cash flows (like stocks or commodities), prediction markets operate on binary outcomes where a contract's value represents the market's consensus on the probability of an event. The fundamental mechanism dictates that a contract pays out a fixed amount (usually $1.00) if the event occurs and nothing ($0) if it does not, meaning the current trading price (e.g., $0.65) directly reflects the aggregate real-time probability of approximately $65% for that specific outcome.



User Interface by Polymarket 17 march 2026



User Interface by Kalshi 17 march 2026

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So What The Different ?

The fundamental difference between centralized and decentralized prediction markets lies in trade execution and fund custody. Centralized platforms act as traditional brokers where a single corporate entity holds your fiat funds, matches trades on private internal servers, and centrally resolves market outcomes, requiring you to trust their infrastructure and regulatory compliance. In contrast, decentralized platforms are built on blockchain networks where code-driven smart contracts automatically match trades and handle payouts directly to your non-custodial crypto wallet, eliminating the middleman and ensuring transparent, trustless on-chain execution verified by decentralized data oracles.

Decentralized

- ***Polymarket***
- ***Opinion***
- ***Drift Protocol (BET)***
- ***predict.fun***
- ***Probable***
- ***Limitless***

Centralized

- ***Kalshi***
- ***PredictIt***
- ***OG.com***
- ***Intrade***
- ***Hollywood SE***
- ***Iowa Electronic Markets***

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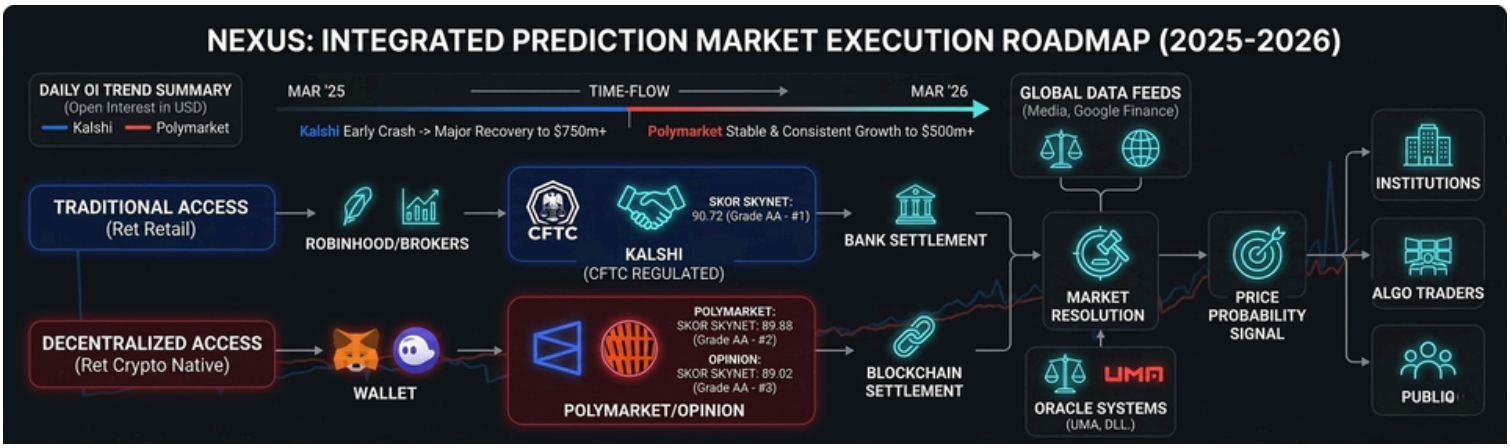

The Data

Prediction Market Notional Volume

Platform	Notional Volume
Total	$145.84b
Polymarket	$62.83b
Kalshi	$52.55b
Opinion	$23.15b
Crypto.com	$2.26b
Predict	$1.68b
Limitless	$1.56b
Other	$1.44b
Overtime	$368.31m

9 rows Search...

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Prediction Market Open Interest

Platform	Open Interest
Total	$921.57m
Polymarket	$451.06m
Kalshi	$428.82m
Opinion	$18.48m
Predict	$17.46m
Other	$5.02m
Limitless	$733.46k

7 rows Search...

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Prediction Market Users

Platform	Unique Users
Total	2.80m
Polymarket	2.23m
Opinion	242.22k
Limitless	207.95k
Other	61.02k
Predict	56.70k
Overtime	10.11k

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Prediction Market Transactions

Platform	Transactions
Total	621.75m
Polymarket	316.46m
Kalshi	276.08m
Opinion	9.55m
Other	8.74m
Limitless	8.24m
Predict	1.89m
Overtime	804.72k

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Prediction Market Volume

Platform	Volume
Total	$77.07b
Polymarket	$48.91b
Opinion	$23.01b
Predict	$1.77b
Limitless	$1.65b
Other	$1.56b
Overtime	$162.62m

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Accuracy of Predictions

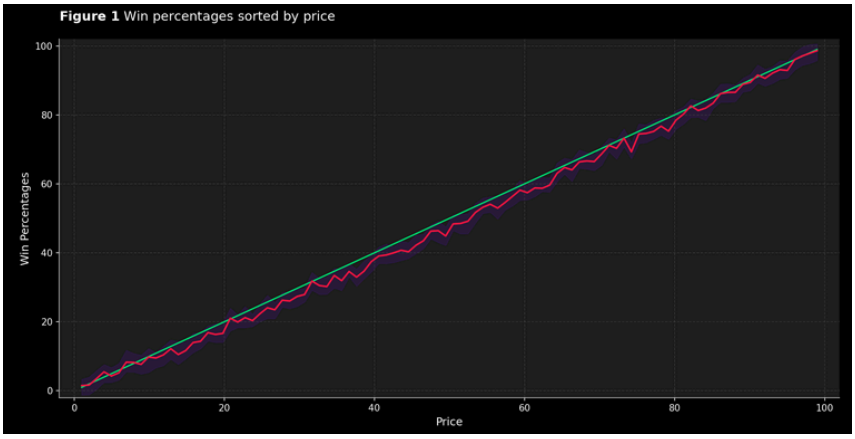

Figure 1 illustrates the "favourite-longshot bias" present in the Kalshi prediction market. It demonstrates that contract prices do not perfectly align with actual, empirical win probabilities. Specifically, cheap contracts (longshots) win less frequently than their implied probability suggests, while expensive contracts (favourites) win slightly more often than their price implies. For instance, a contract priced at 10 cents actually wins less than 10% of the time, proving that the market overprices low-probability events.

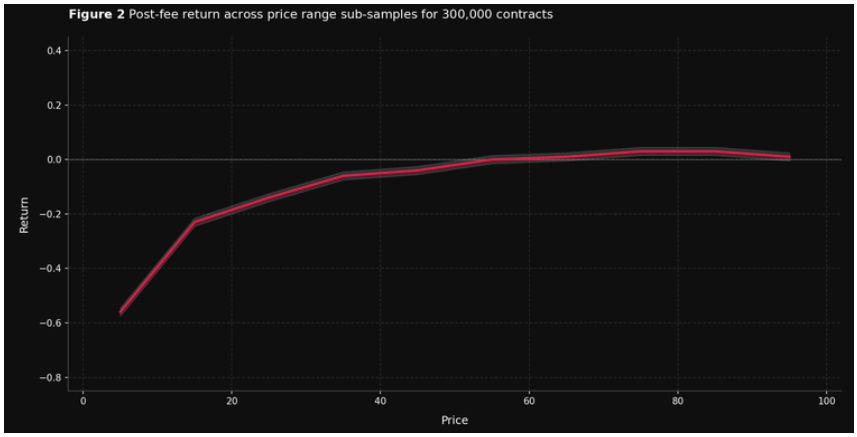

Figure 2 highlights the severe financial implications of the favourite-longshot bias by charting the post-fee returns across different price ranges. It shows a highly asymmetric return profile: investors who buy cheap, low-probability contracts suffer massive negative returns, (e.g., losing 60% of their investment on a 5-cent contract because it only wins 2% of the time). Conversely, investors who take the other side and buy expensive, high-probability contracts earn a small but consistent positive profit rate.

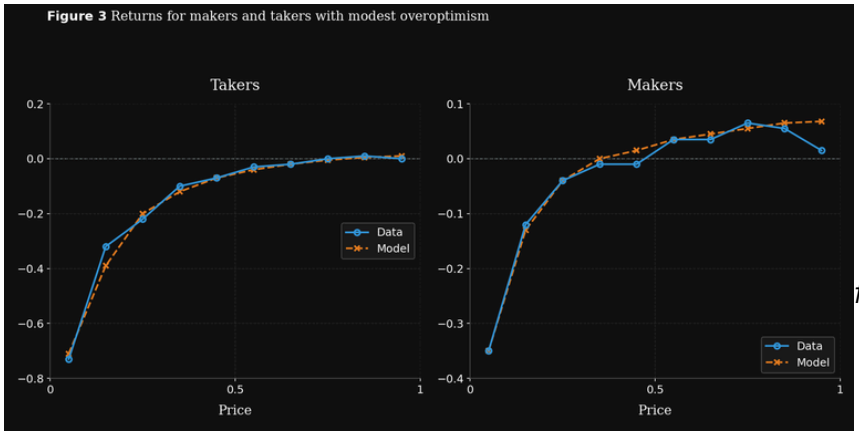

Figure 3 breaks down the market microstructure by comparing the returns of "makers" (liquidity providers who post limit orders) versus "takers" (those who execute market orders). While both groups suffer from the favourite-longshot bias, the data reveals that takers experience significantly deeper losses on cheap contracts (averaging a 32% loss) compared to makers (who average a 10% loss).

The authors explain this discrepancy through a behavioral model: takers suffer from "modest overoptimism" and a general psychological tendency to overestimate small probabilities. They are willing to pay a premium (accepting worse prices) for the certainty of immediate execution, falling victim to a form of the "winner's curse."

Source : https://cepr.org/

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Hot News

KATE KNIBBS BUSINESS MAR 16, 2026 5:30 AM

Wall Street Is Already Betting on Prediction Markets

As the legal war over how to regulate prediction markets rages on, financial institutions are embracing the industry anyway.

CNBC

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PREDICTION MARKETS

Prediction markets could hit a trillion dollars in trading volume by the end of this decade, new report says

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Technology

Polymarket Founder Says War Bets Are Facing Growing Resistance

KATE KNIBBS BUSINESS FEB 27, 2026 2:07 PM

OpenAI Fires an Employee for Prediction Market Insider Trading

Prediction markets like Polymarket and Kalshi are big business, and some Big Tech employees are testing boundaries by making trades based on insider knowledge.

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FAQ

- Question: How do prediction markets achieve price efficiency, and what arbitrage opportunities exist within them?

Prediction markets achieve efficiency through the "wisdom of the crowd" and financial incentives. Arbitrageurs play a crucial role by identifying price discrepancies between the implied probability of a contract (e.g., on Polymarket) and the actual statistical probability of a macro event. Additionally, cross-exchange arbitrage exists when the exact same event is priced differently across platforms like Kalshi and Drift. Quants can buy the undervalued contract on one platform and short the overvalued one on another to lock in a delta-neutral profit.

- Question: How is Artificial Intelligence currently being integrated into modern decentralized prediction markets?

AI is primarily utilized in two vectors: as automated trading agents and as resolution mechanisms. On the trading side, AI models scrape macroeconomic data, sentiment from X (Twitter), and news feeds to execute high-frequency trades before human retail traders can react. On the infrastructure side, newer protocols are integrating Large Language Models (LLMs) as preliminary decentralized oracles to automatically read real-world data and resolve market outcomes faster than traditional human consensus, significantly reducing settlement latency.

- Question: Why are Decentralized Oracles critical for the infrastructure of on-chain prediction markets?

On-chain smart contracts exist in isolated environments and cannot natively pull off-chain data (like Fed interest rate decisions or election results). Decentralized oracles, such as UMA's Optimistic Oracle or Chainlink, act as the secure bridge. They aggregate external data, verify its cryptographic truth via token-holder consensus or data providers, and feed it into the prediction market's smart contract to trigger the final payout. If the oracle layer is compromised, the entire market settlement becomes invalid.

- Question: What is the impact of liquidity fragmentation in the current prediction market landscape?

Liquidity fragmentation occurs when trading volume for the same predictive event is split across multiple chains (e.g., Polygon, Solana, Base) and centralized platforms. For quantitative analysts, this leads to higher slippage for large orders, wider bid-ask spreads, and slower global price discovery. To combat this, liquidity aggregators and cross-chain market makers are becoming essential infrastructure to route orders efficiently and unify the fragmented capital pools.

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About the Author

Thariq Rahman Fadillah is a Quantitative Analyst and Research Engineer specializing in the cryptocurrency market and Artificial Intelligence infrastructure. With a foundational background in Accounting, he integrates rigorous financial principles with data-driven quantitative analysis to dissect macroeconomic shifts

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